Unit 5. Competitive Strategy

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Unit 5. Competitive strategies

LEARNING OBJECTIVES

1. To understand the key concepts of competitive advantage and strategy
2. To analyze how the two generic competitive strategies (cost and differentiation) work
3. To critically analyze them and explore the "strategy clock"
4. To understand industry evolution and explore the most suitable strategies to compete in

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5.1. Competitive Advantage & Strategy

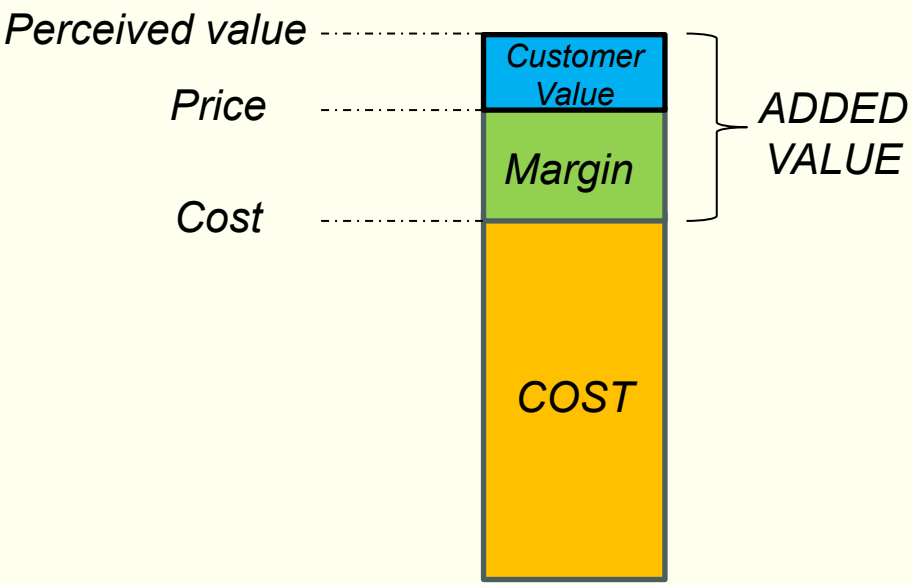
COMPETITIVE ADVANTAGE

1. Firm's key features that distinguishes it from rivals

2. Better position for competing in the market→ Market success

3. Happy end…. Better performance

Competitive Disadvantage ⟷ **Competitive Parity** ⟷ **Competitive Advantage**



- *Usually related to industry key success factors….*
- *Should be substantial and sustainable over time…*

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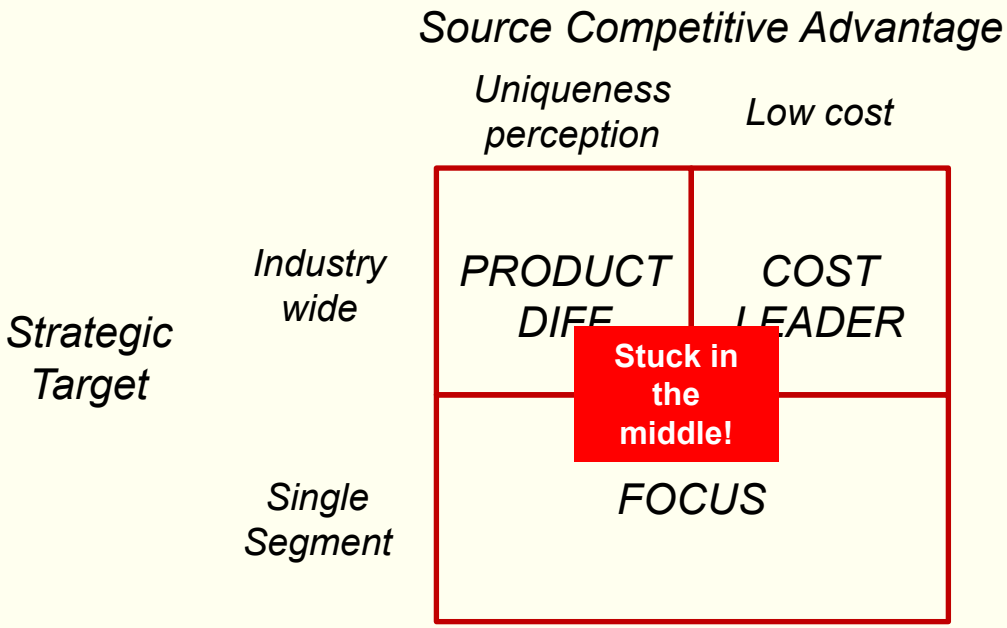
5.1. Competitive Advantage & Strategy

COMPETITIVE STRATEGY

Offensive-defensive actions to create a defendable position in the industry and achieve better performance

- *The way in which companies achieve sustained competitive advantage…*

HOW TO COMPETE IN THE MARKET TO OVERCOME COMPETITORS?
Competitive Stratetegy → Competitive Advantage → Market Success



Source: Porter (1980:60)

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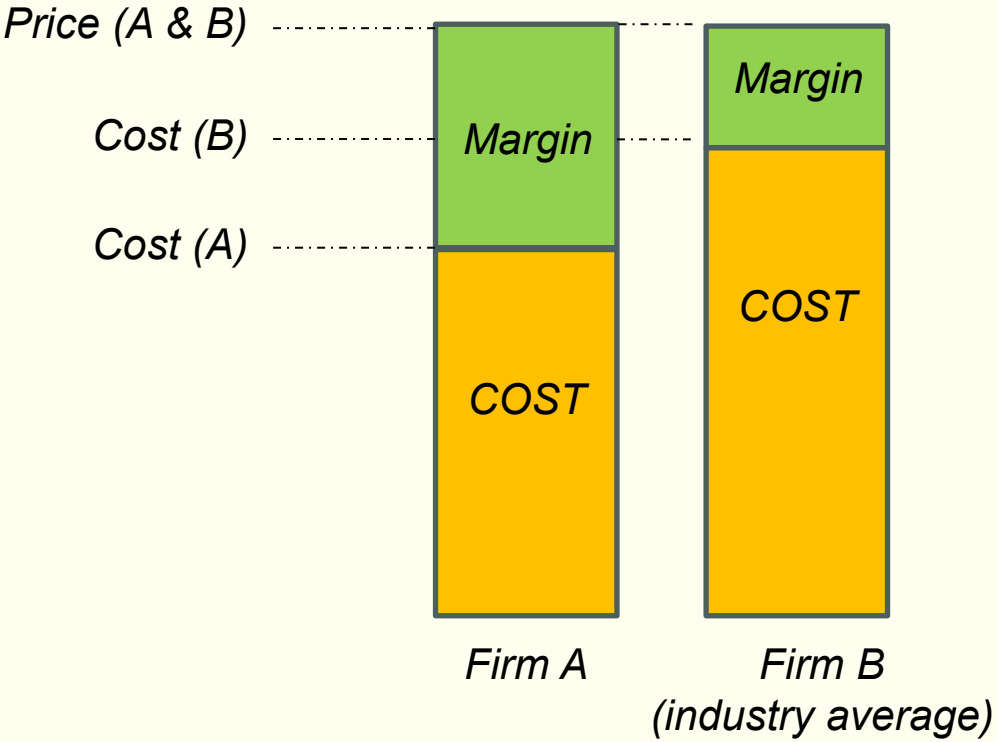
5.2. Cost Leadership Strategy

COST LEADERSHIP ADVANTAGE

When the firm costs are lower than its competitors / industry average for a product/service of similar features/quality



FIRM "A"

Competitive Advantage

Source: Navas & Guerras (2018:153)

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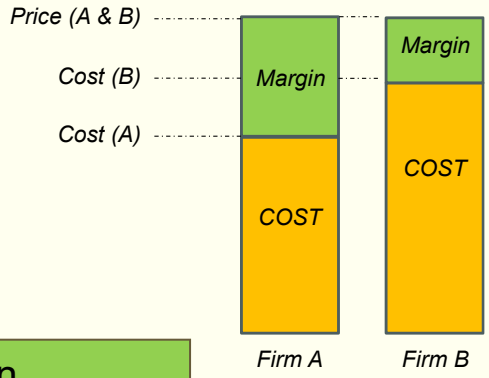
5.2. Cost Leadership Strategy

Drivers of COST LEADERSHIP ADVANTAGE



Economies of scale	Input-output; indivisibilities; specialization
Learning economies	Increase skills, improved organizational routines
Production techniques	Process innovation; re-ingineering
Product design	Standardization, design for manufacture
Input costs	Access raw materials, location, bargaining power
Capacity utilization	Ration fixed-variable costs, lean/JIT production..
Residual effiency	X-inefficiency; employee's motivation, …

Source: Grant (2022:154)

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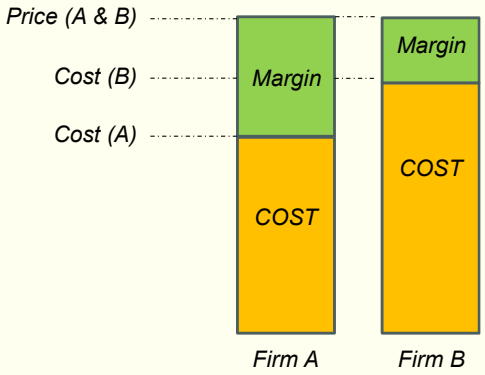
5.2. Cost Leadership Strategy

Adequacy of COST LEADERSHIP ADVANTAGE



Price-sensitive customers

Price competition as a key industry factor

Product standardization - commodity

High bargaining power of buyers

Existence of economies of scale and learning effects

Source: Grant (2022:154)

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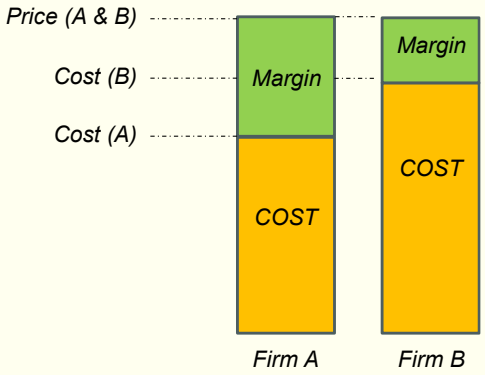
5.2. Cost Leadership Strategy

Risks of COST LEADERSHIP ADVANTAGE



- Constant monitoring costs
- Innovation can annulled experience effect
- Cost Inflation
- Changes in demand
- Excessive reduction product quality
- Competitor's imitation / segmented competitors

Source: Grant (2022:154)

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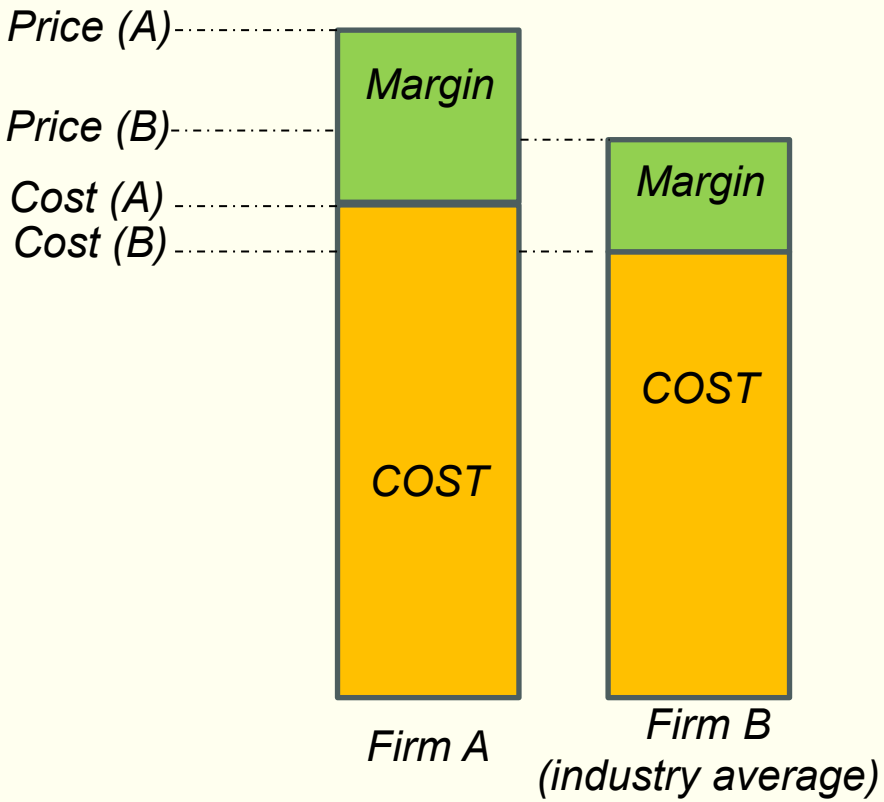
5.3. Product Differentiation Strategy

2 PRODUCT DIFFERENTIATION ADVANTAGE

When the firm offers to the market a product/service with certain attributes being perceived by customers as "unique" → **"Price Premium"**



FIRM "A"

Competitive Advantage

Source: Navas & Guerras (2018:158)

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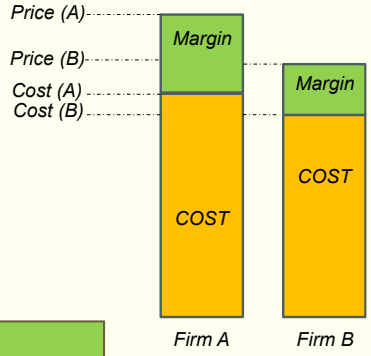
5.3. Product Differentiation Strategy

Drivers of PRODUCT DIFFERENTIATION ADVANTAGE



Product features "Uniqueness"	Product features and performance; complementary services; perceived quality; location; etc.
Market features	Variety of customer needs and whishes; perception; intangibles (social, phycological,…)
Firm features	Ethics, Commitment to CSR-Sustainabiity, Signaling and Reputation, Legitimacy
Other	Time (ASAP), …

Source: Grant (2022); Navas & Guerras (2018)

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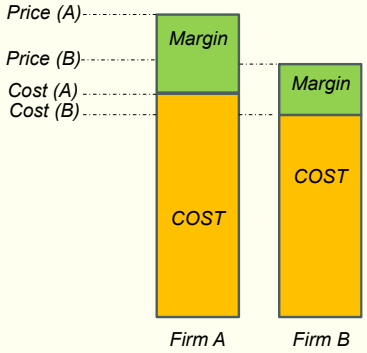
5.3. Product Differentiation Strategy

Adequacy of PRODUCT DIFFERENTIATION ADVANTAGE



Buyers give importance to quality

Few competitors choose the same product differentiation criterion

Product features difficult to imitate

Tech-based industries → Innovation key success factor

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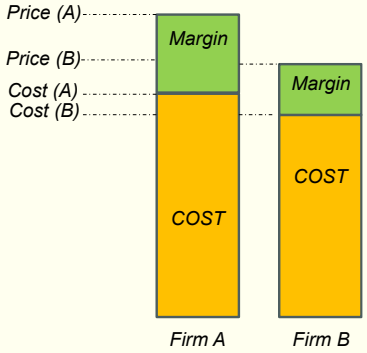
5.3. Product Differentiation Strategy

Risks of PRODUCT DIFFERENTIATION ADVANTAGE



Too high "Price Premium"

Changes in demand → Cost (i.e. economic crises)

Imitation by competitors → Luxury!

Competitors focused on single segments

Source: Grant (2022:154)

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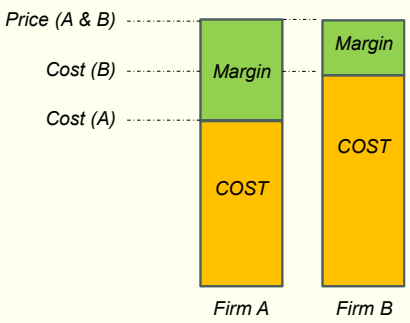
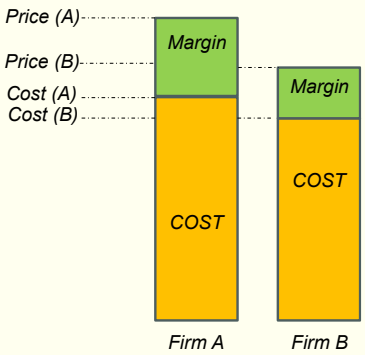
5.4. Extending Porter's Strategies



CRITICAL LEARNING



COST LEADERSHIP

Cost ≠ Price

Costs NOT ALWAYS → C.A.

There is only ONE cost leader in the horizont…

PRODUCT DIFFERENTIATION

Product diff ≠ Price Premium

Brand Products work like Luxury?

Stuck in the "middle"?

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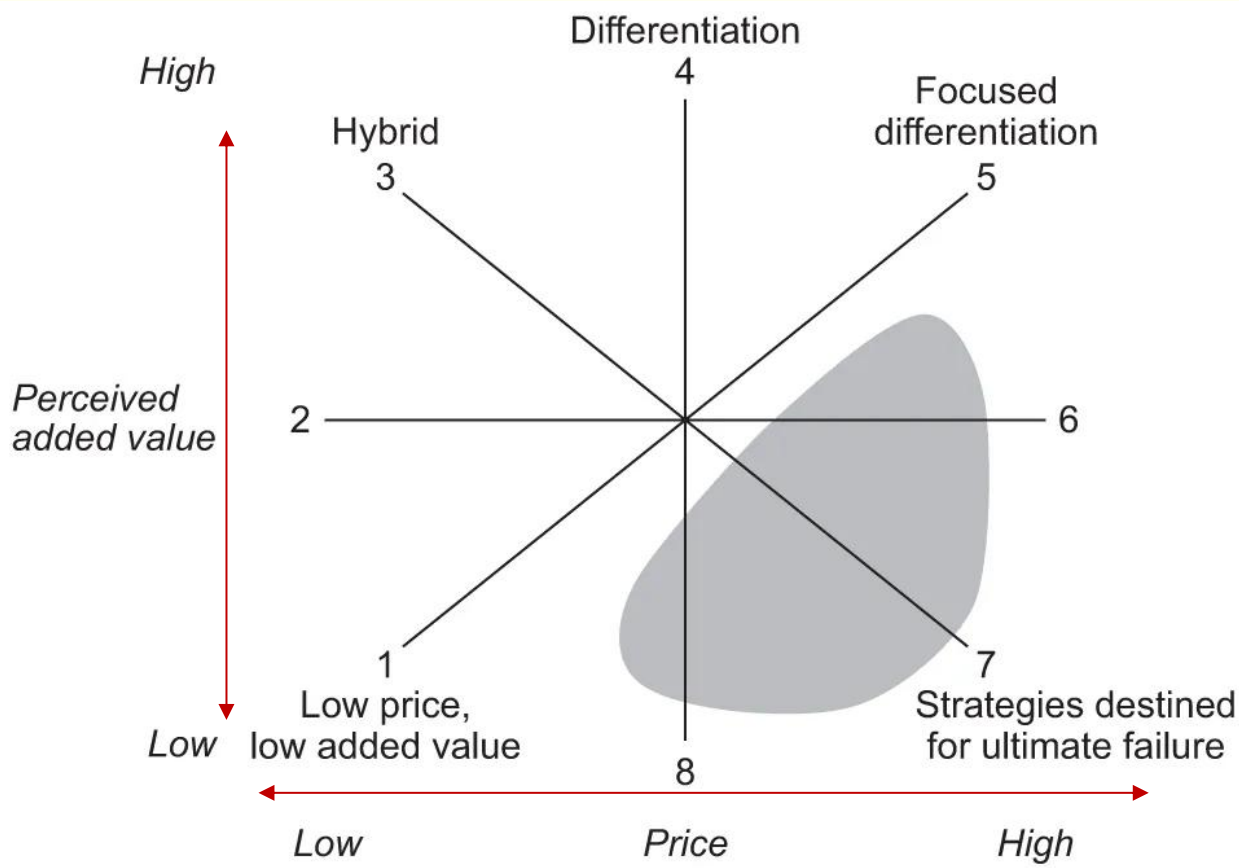
5.4. Extending Porter's Strategies

The "STRATEGY CLOCK"

WHAT'S NEW?



Source: Based on Bowman (1992); Johnson et al (2017)

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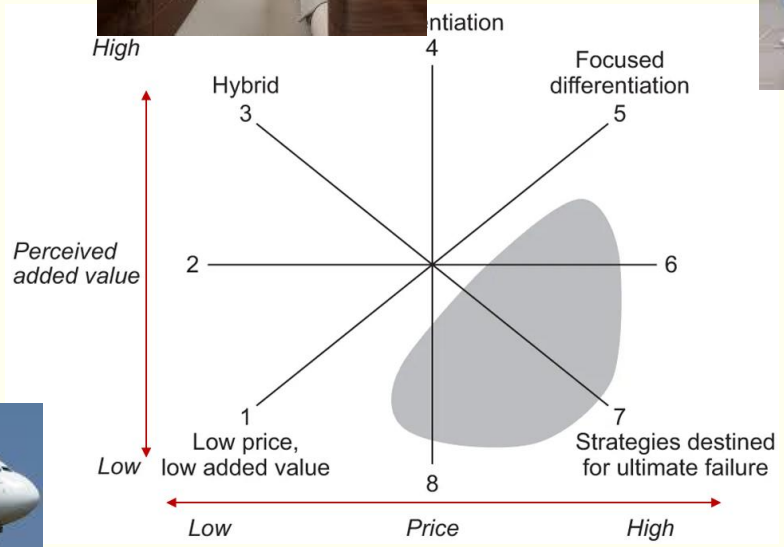
Illustration 5.1

The “Strategic Clock” Model



Identify the eight competitive strategy positions in the Strategic Clock Model in the case of the air passenger transport industry (and some of their drivers)

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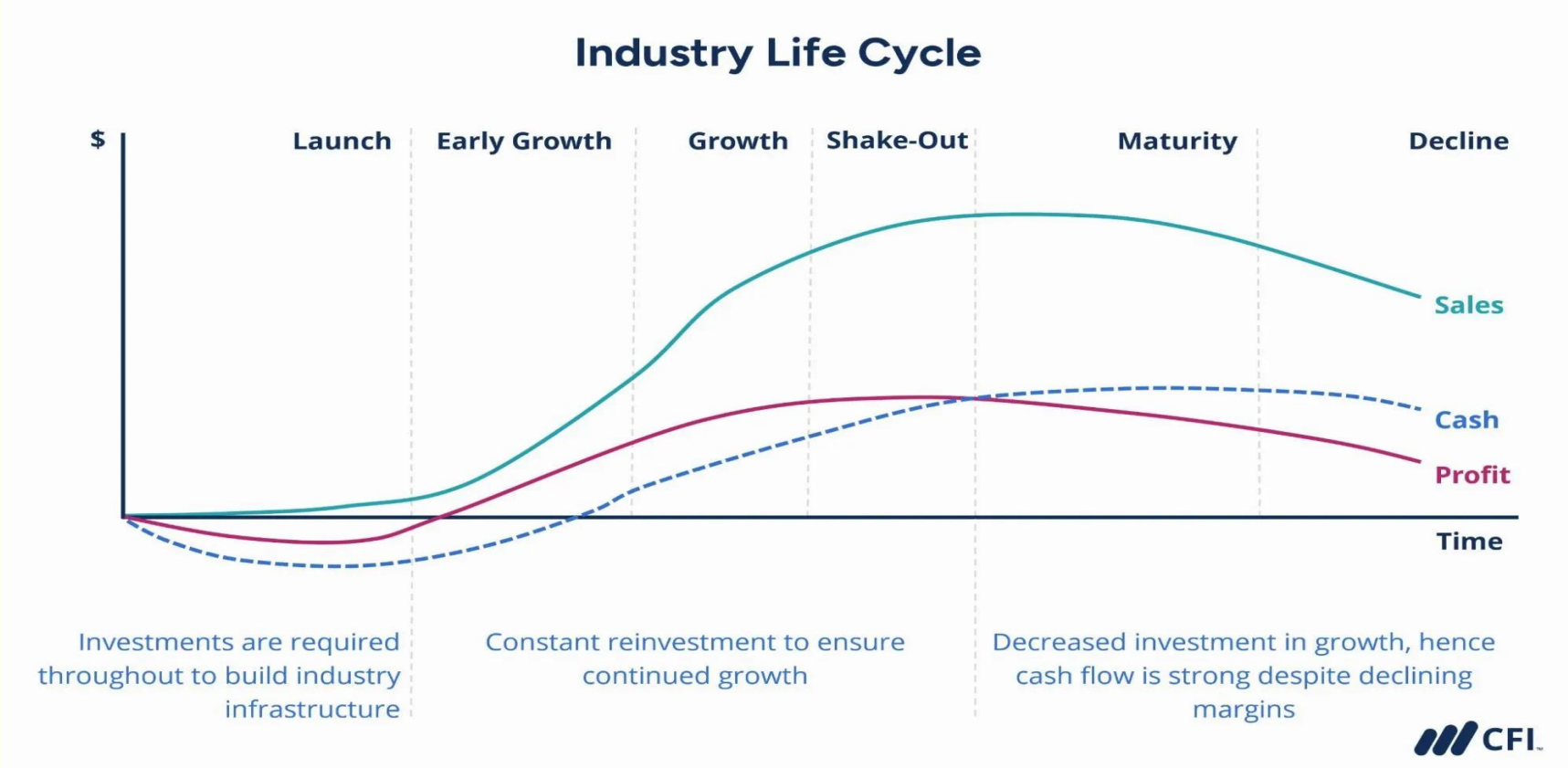
5.5. Strategies based on Industry Evol.

THE INDUSTRY'S LIFE-CYCLE MODEL



Each industry life-cycle stage requires a different competitive strategy – way of competing (5 Forces Model), Costs, Innovation, Profitability,…

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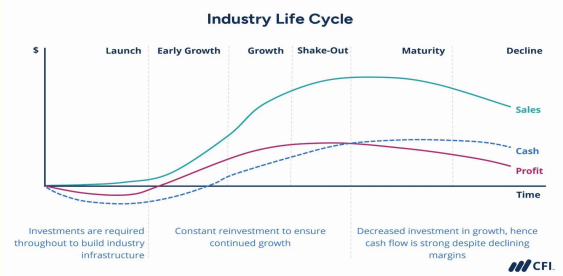
5.5. Strategies based on Industry Evol.



THE INDUSTRY'S LIFE-CYCLE MODEL

EMERGENCE

- Shaping Industry Structure
- Time to entry: Leader, Follower, follower of the follower?
- Risk and Financial Management

GROWH

- Happiness; market growth initiatives; Investments
- Improve Competitive Positioning (Cost, Differentation)
- Detect turning point (Shakeout)→ When stop investments

MATURITY

- Consolidation of competitive positioning and advantage
- Re-orientation Firm's scope (towards emerging industry?)

DECLINE

- It is temporal or structural?
- Choices: Harvest; Segmentation; Rapid Withdrawal…

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BUSINESS CASE 3: WAL-MART IN CHINA

“Wal-Mart stores: “Every day low prices” in China” Ascia Case Reserarch Centre. The University of Hong Kong, HKU590, Sep 2022.

Questions

1. Why is Wal-Mart successful in the US? What are the Wal-Mart’s competitive advantages and it sources?
2. Provide suggestions on potential strategies that Wal-Mart China should consider in going forward

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